



SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會

8th Floor, Chater House, 8 Connaught Road Central, Hong Kong

香港中環干諾道中八號遮打大廈八樓

Our Ref: SFO/IS/014/2005

5 October 2005

Circular to Licensed Corporations and Associated Entities

Anti-Money Laundering / Combating Terrorist Financing

Suspicious Transactions Reports Classification

The Joint Financial Intelligence Unit (“JFIU”) of the HKSAR Government has adopted a risk based approach in assessing and classifying suspicious transactions reports received by it. Attached is the letter from JFIU explaining the new set of classifications. If you have any questions, please contact Chief Inspector Nelson Cheng of the JFIU directly on 2860 3402.

Intermediaries & Investment Products
Securities and Futures Commission



Joint Financial Intelligence Unit

G.P.O. Box No. 6555, General Post Office, Hong Kong

Tel: 2866 3366 Fax: 2529 4013 Email: jfiu@police.gov.hk



22 September 2005

Mr. Raymond WONG
Intermediaries Supervision,
Securities and Futures Commission,
8th Floor, Charter House,
8 Connaught Road Central,
Hong Kong.

Our Ref: NB CON 5/77

Dear Raymond,

Risk Based STR Classifications

With a view to streamlining the processing of suspicious transactions reports ("STR") and providing better feedback to reporting entities, w.e.f. 1st October 2005 a risk based approach will be adopted in assessing and classifying STR received by the Joint Financial Intelligence Unit.

Where a STR has been disseminated to an investigative unit for investigation, at the conclusion of the investigation the reporting entity will be notified by the investigative unit of the classification of the STR in writing.

There will be three types of classification:

Classification

Descriptions

Low Risk

- *There are insufficient grounds to establish a crime.*

Unrevolved

- *There are grounds to believe there may be a crime, but for some*

*reasons the investigative unit
decides not to continue the
investigation.*

**Confirmed
Crime**

- *Investigation has led to discovery
or confirmation of a crime, with or
without arrest or prosecution.*

The new set of classifications will become effective on 1st October 2005. I would be grateful if you could disseminate this letter to the compliance officers of all licensed institutions under your supervision.

The subject officer Mr. Nelson Cheng will answer all queries relating to this new set of classifications. He can be contacted on 2860 3402.

Yours faithfully,



(Lam Man-wing, Edwin)

Head, Joint Financial Intelligence Unit

c.c. Commissioner of Customs and Excise
(Attn: Mr. Eric Ho)